

Vendor Selection and Preferred Supplier Policy

Document ID: POL-PROC-002 | Type: POLICY | Effective: 2024-01-01

VENDOR SELECTION AND PREFERRED SUPPLIER POLICY

Document ID: POL-PROC-002

Version: 2.4

Effective Date: 2024-01-01

Owner: Chief Procurement Officer

1. PURPOSE

This policy governs the selection of suppliers for all purchase requisitions. It defines the preferred vendor programme, vendor qualification criteria, and the consequences of using non-preferred suppliers.

2. PREFERRED VENDOR PROGRAMME

2.1 Definition

A preferred vendor is a supplier that has been qualified through the vendor assessment process, signed a framework agreement with standard payment terms (NET30), and demonstrated on-time delivery performance above 95% over the preceding 12 months.

2.2 Current Preferred Vendors

The current list of preferred vendors is maintained in the procurement system. As of the effective date, preferred vendors include: Apex Industrial Supplies (V-1) and Precision Parts Ltd (V-7). This list is updated quarterly.

2.3 Obligation to Use Preferred Vendors

For all standard catalogue materials with an estimated purchase value above \$1,000, procurement staff must select a preferred vendor. Use of a non-preferred vendor for orders above \$1,000 requires written justification and manager approval, regardless of the order amount.

2.4 Preferred Vendor Auto-Approval Benefit

Purchase requisitions below \$5,000 placed with a preferred vendor are eligible for auto-approval under POL-PROC-001 Section 2.1. This benefit does not apply to non-preferred vendors.

3. NON-PREFERRED VENDOR USE

3.1 Justification Required

When a preferred vendor cannot fulfil a requirement (due to stock-out, lead time constraints, or technical specification mismatch), the requestor must document

the reason and obtain manager approval before submitting a requisition against a non-preferred vendor.

3.2 One-Time Vendor Approval

For emergency procurements from vendors not on the preferred list, a one-time vendor approval form must be submitted to the procurement team. Purchase orders may not be issued until the one-time approval is recorded in the system.

4. RESTRICTED VENDOR LIST

4.1 Purpose

The Restricted Vendor List (RVL) identifies vendors that are prohibited from receiving purchase orders due to compliance findings, sanctions, poor performance, or legal disputes.

4.2 Enforcement

The procurement system must automatically deny any purchase requisition naming an RVL vendor. No override is permitted at the system level; exceptions require written approval from the General Counsel and Chief Procurement Officer.

5. VENDOR PERFORMANCE REVIEW

Preferred vendor status is reviewed quarterly. A vendor falling below 90% on-time delivery over two consecutive quarters is placed on probationary status and may be removed from the preferred list.

6. PAYMENT TERMS

All purchase orders issued to preferred vendors are subject to NET30 payment terms unless a specific framework agreement specifies otherwise. Non-preferred vendors are subject to NET45 terms.